Research Statement

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I am an empirical macroeconomist studying how heterogeneity in beliefs, perceptions, and information processing shapes the transmission of macroeconomic policy. My research starts from the premise that policy effects depend not only on what policymakers do, but also on who pays attention, how private agents interpret policy signals, and what risks they perceive. Many empirical analyses of policy transmission rely on aggregate measures that obscure this heterogeneity. My work instead uses direct measures of firms' and households' information environments to study how differences in attention, perceived risk, and beliefs affect real economic decisions.

A common feature of my research is the use of new data to measure aspects of expectations that have traditionally been difficult to observe. I combine large-scale natural-language analysis of corporate earnings calls and policy communication with high-frequency identification of policy shocks, firm and cross-country panel methods, local projections, and survey experiments. My dissertation develops measures of firm attention and perceived risk, together with firm-based measures of fiscal perceptions, and shows that these dimensions systematically shape monetary and fiscal policy transmission. Related work extends this approach to household belief formation and, increasingly, to the decisions and communication of policymakers themselves. My broader objective is to move expectations and information processing from latent assumptions in macroeconomic analysis toward objects that can be directly measured and incorporated into the study of policy transmission.

1. Firm Heterogeneity and the Transmission of Monetary Policy

My job market paper, *Decoding Unconventional Monetary Policy: The Role of Firm-Level Heterogeneity*, studies how central bank communication transmits to firm investment and why its effects differ across firms. Forward guidance has become an important instrument of monetary policy, yet standard models often predict aggregate responses substantially larger than those observed in the data—the forward guidance puzzle. I approach this question from the cross section of firms: if responding to policy communication requires firms to understand and process information about the future policy path, heterogeneous attention may help explain why its aggregate effects are muted.

I distinguish between conventional monetary policy shocks, Odyssean forward guidance—commitments about the future policy path—and Delphic forward guidance—information about economic fundamentals. I then study two dimensions of firm heterogeneity: financial conditions, which determine firms' capacity to respond to changes in financing costs, and attention to monetary policy, which determines whether firms actively process Federal Reserve communication. I construct a firm-level measure of monetary-policy attention from quarterly earnings conference calls, using within-firm variation in the share of each call devoted to monetary policy. I combine these data with high-frequency conventional, Odyssean, and Delphic policy shocks identified from asset-price movements around FOMC announcements and estimate local projections in which investment responses vary jointly with attention and balance-sheet conditions. Separately, I use large language models to characterize the changing Odyssean and Delphic content of FOMC statements over time and to provide direct textual evidence on the informational distinction underlying the empirical analysis.

The results reveal that monetary policy does not transmit through a single firm-level channel. Conventional monetary policy and Delphic forward guidance operate primarily through financial conditions, with financially stronger firms exhibiting systematically different investment responses but little heterogeneity associated with attention. Odyssean guidance behaves differently: its effects are concentrated among firms that devote greater attention to monetary policy, while inattentive firms respond substantially less. Attention and financial fragility therefore represent distinct margins of policy transmission, and which margin matters depends on the information contained in the policy action.

A parsimonious framework rationalizes this asymmetry. Conventional policy changes are immediately reflected in financial conditions, while Delphic guidance conveys information about fundamentals that is broadly observable through prices and other economic signals. Odyssean commitments instead require firms to infer what central bank communication implies for the future policy path and financing conditions. Firms that devote greater attention to policy are better able to make this inference and incorporate it into investment decisions. An implication is that two monetary-policy announcements can produce similar movements in medium-term interest rates while generating very different real responses because firms process their informational content differently. The same mechanism provides a partial resolution of the forward guidance puzzle: if only a subset of firms actively processes commitment-based guidance, its aggregate effect can be substantially smaller than representative-agent models predict.

A companion paper, *Firm-Level Risk Perceptions and the Transmission of Monetary Policy Shocks*, studies a second dimension of firms' information environments. Rather than asking whether firms pay attention to policy, I ask whether the risks they perceive condition their ability or willingness to respond to monetary easing. Using text-based measures derived from earnings-call transcripts, I find that firms reporting greater perceived risk accumulate less capital following expansionary monetary policy shocks. The effect persists after controlling for financial frictions and firm sentiment and varies systematically with the type of risk firms discuss. Together, these papers show that attention and perceived risk represent separate channels through which firm heterogeneity shapes monetary transmission.

2. Firm Perceptions and the Transmission of Fiscal Policy

A second strand of my research extends the measurement of private-sector perceptions to fiscal policy and to an international setting. In *Fiscal Assessments Through the Lens of Firms: Corporate Perceptions and the Transmission of Fiscal Policy*, joint with Leandro Andrian and Oscar Valencia of the Inter-American Development Bank, we ask whether firms' perceptions of the fiscal environment contain information about how fiscal policy transmits to sovereign borrowing costs and real activity.

We use natural-language processing on more than 390,000 corporate earnings calls from approximately 14,000 firms across 51 countries over more than two decades to construct a new set of Fiscal Perceptions Indicators. These indicators capture the incidence of fiscal discussion, the extent to which fiscal issues are framed as risks, and the sentiment expressed toward the fiscal environment. The measures provide a high-frequency and internationally comparable view of private-sector fiscal perceptions grounded directly in the communication of firms whose investment, financing, hiring, and pricing decisions contribute to aggregate activity.

We first show that perceived fiscal conditions track economically meaningful variation in sovereign and macroeconomic outcomes: periods of elevated fiscal concern are associated with higher sovereign spreads, weaker investment, and slower output growth. We then combine the indicators with externally identified government-spending shocks and estimate panel local projections in which the response to fiscal policy varies with prevailing firm sentiment. Fiscal transmission changes systematically with this belief environment. More favorable fiscal sentiment is associated with smaller increases in sovereign spreads and stronger responses of private demand, while less favorable perceptions are associated with weaker transmission.

Importantly, these results are not simply a restatement of conventional fiscal vulnerability. In a direct horse race, we simultaneously allow fiscal shocks to interact with firm sentiment, the initial debt-to-GDP ratio, and the initial sovereign spread. The sentiment interaction remains economically and statistically important, while the traditional fiscal-stress measures do not account for it. I interpret these findings as evidence that firm perceptions contain distinct information about the state dependence of fiscal transmission. More broadly, the project provides a scalable empirical framework for studying the expectations and credibility channels of fiscal policy across countries.

3. Household Beliefs and the Interpretation of Policy

The role of heterogeneous beliefs extends beyond firms. In *How Partisanship Shapes Economic Expectations: Evidence from the 2025 U.S. Tariff Announcement*, joint with Taewon Hwang and Yoon Joo Jo and currently *Revise and Resubmit* at the *European Economic Review*, we study how households interpret a salient real-world policy announcement and how common information changes their beliefs.

We fielded a survey experiment immediately following the April 2025 U.S. tariff announcement. Respondents reported expectations about inflation, unemployment, and economic activity, as well as their subjective models of how tariffs affect the economy. We then randomly provided evidence from the 2018–2019 U.S.–China tariff episode and measured how respondents updated their expectations.

We find substantial disagreement in households' subjective models, with political affiliation explaining much more of this variation than standard demographic characteristics. The effect of information depends on these prior beliefs. When respondents largely agree about the direction of a policy effect, information changes their assessment of its magnitude; when prior models differ more fundamentally, information also changes the mechanism and even the direction through which respondents expect policy to operate. As a result, identical information can narrow disagreement for some outcomes while widening it for others. The project complements my firm-level work by showing that heterogeneous interpretation is not specific to corporate decision-makers: common policy information can produce persistently different expectations whenever agents begin from different models of the economy.

4. Ongoing Research and Broader Agenda

A complementary branch of my research turns from the beliefs of private agents toward the institutions that make policy. In *Fiscal–Monetary Interaction and Government Debt Management*, joint with Sarah Zubairy and Huixin Bi, we study how the U.S. Treasury chooses the maturity structure of government debt and how these choices interact with monetary policy. Debt managers face a tradeoff between financing costs and rollover and interest-rate risk: longer-term issuance insulates the government from future rate fluctuations but typically requires paying a term premium, while shorter maturities reduce expected financing costs but increase refinancing exposure. We seek to recover the implicit weights policymakers place on these competing objectives and study whether those weights vary with the macroeconomic environment.

A central question is how Treasury decisions interact with the Federal Reserve's balance sheet. Quantitative easing changes the effective maturity structure of consolidated government liabilities, so Treasury issuance and Federal Reserve asset purchases can reinforce or offset one another. This project therefore connects debt management to the broader question of monetary–fiscal interactions and extends my use of textual information from private-sector communication to the stated objectives and priorities of policymakers.

A second line of future research deepens the measurement of beliefs themselves. In *Firm Narratives and the Propagation of Macroeconomic Shocks*, I move beyond measuring how much firms discuss an issue or whether their language is favorable or adverse and toward measuring the causal narratives firms use to make sense of macroeconomic shocks. Earnings calls reveal not only whether managers perceive uncertainty, but also why they believe a shock matters, through which mechanisms they expect it to reach their business, and how they plan to respond. I plan to use earnings calls together with firms' 10-K filings to measure these narratives and study how they form, spread across firms and sectors, and interact with attention and perceived risk.

This agenda is motivated by the possibility that narratives themselves constitute a propagation mechanism. If firms adopt a common interpretation of a monetary, fiscal, or uncertainty shock, otherwise heterogeneous firms may respond in a correlated way, amplifying aggregate fluctuations. Conversely, competing narratives may delay or weaken transmission. The longer-run objective is to build empirical and theoretical frameworks in which distributions of attention, perceived risk, and economic narratives discipline how expectations enter firm decisions rather than being treated as unobserved residuals.

Across these projects, the question organizing my research is how heterogeneous beliefs and information processing should be incorporated into macroeconomic analysis. The growing availability of text, survey, and high-frequency data increasingly makes it possible to observe how firms, households, and policymakers interpret the economy in real time. My goal is to use these data to move the expectations channel from an assumption to a measured input—one that helps explain when monetary and fiscal policies are powerful, when their effects are muted, and why otherwise similar policy actions can generate very different real outcomes.

Research Papers

[1] *Decoding Unconventional Monetary Policy: The Role of Firm-Level Heterogeneity* (Job Market Paper). Sole-authored.

[2] *Firm-Level Risk Perceptions and the Transmission of Monetary Policy Shocks*. Sole-authored.

[3] *Fiscal Assessments Through the Lens of Firms: Corporate Perceptions and the Transmission of Fiscal Policy*, with Leandro Andrian (IDB) and Oscar Valencia (IDB).

[4] *How Partisanship Shapes Economic Expectations: Evidence from the 2025 U.S. Tariff Announcement*, with Taewon Hwang (Texas A&M) and Yoon Joo Jo (Texas A&M). Revise and Resubmit at the *European Economic Review*.

Selected Work in Progress

[5] *Fiscal–Monetary Interaction and Government Debt Management (Treasury Issuance Strategy)*, with Sarah Zubairy (Texas A&M) and Huixin Bi (Federal Reserve Bank of Kansas City).

[6] *Firm Narratives and the Propagation of Macroeconomic Shocks*. Sole-authored.